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Location and Land Use

TOWARD A GENERAL THEORY OF LAND RENT

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them to pursue unproductive lines of reasoning. Thirdly, land rent as a subject appears to have lost much of its urgency because of increased agricultural productivity and the relative decrease in importance of the agricultural sector in the economies of the more advanced countries (which are the ones which produce economic theory). Finally, the theory in this subject has become bogged down in a Sargasso Sea of conflicting definitions and emphases, and the "anarchic conditions prevailing in this field of study"[2] have greatly hampered the productivity of ideas and the value of discussion.

At the beginning of the 19th century David Ricardo presented a treatment of agricultural rent which is still the foundation of most present-day theory.[3] Ricardo pointed out that the most fertile lands are the first put to use, and that less favored land is put to use as the demand for agricultural products increases. The rent on the most productive land is based on its advantage over the least productive, the competition among farmers insuring that the full advantage go to the landlords in the form of rent. This advantage is equal to the value of the difference in the productivity of land. Ricardo recognized as well that land which is nearer the market bears lower transport costs on its produce than more distant land, and that this advantage also accrues to the landlords in the form of rent as a result of competition among the farmers. However, Ricardo devoted his attention primarily to fertility differentials. A few years later J. H. von Thünen developed the theory of location differential rent more fully.[4] The various agricultural land uses around a market place bid for the use of land, and land is assigned to the highest bidder in each case. The rent each crop can bid at each location will be the savings in transportation of its product that that site affords in contrast with a more distant site. The most distant land in cultivation yields no savings in transportation, and con-

2. Carl R. Bye, *Developments and Issues in the Theory of Rent* (New York: Columbia University Press, 1940), p. 104. For a very thorough review of many aspects of the literature on urban land rent, see Max R. Bloom, *Economic Criteria and the Use of Land in Subsidized Urban Redevelopment Areas*, Ph.D. dissertation, The American University, Washington, D.C., 1959.

3. David Ricardo, *On the Principles of Political Economy and Taxation*, 1817. Though his is the most important early treatment, Adam Smith in his *Wealth of Nations*, 1776, already recognized that rent varied with the fertility and situation of land.

4. Johann H. von Thünen, *Der isolierte Staat in Beziehung auf Landwirtschaft und Nationalekonomie* (1st vol., Hamburg, 1826; 3rd vol., and new ed., Hamburg, 1863).

sequently there will be no rent at that location. Viewed another way, the rent at any location is equal to the value of its product minus production costs and transport costs. This approach has recently been fully and formally developed by Dunn and Isard,[5] and will be presented in greater detail in chapter 3.

The early economists had little to say on urban land. Adam Smith says nothing about its valuation, remarking that this land is unproductive and the landlord a monopolist.[6] Neither does Ricardo offer any method for judging its value. J. S. Mill views it as a simple monopoly problem, where the value of a fixed and limited supply of "houses and building ground, in a town of definite extent" will be such that the demand is just sufficient to carry off the supply offered.[7] Alfred Marshall devotes a chapter to urban land values, but concerns himself almost entirely with profit-making land uses, such as retail stores and manufacturing plants. He emphasizes the importance of location within the city, and defines "situation value" as the sum of the money values of the situation advantages of a site. According to Marshall, "site value," the price which a site would fetch if cleared of buildings and sold in the free market, is equal to situation value plus agricultural rent. The various land uses bid for the land, that use capturing the site "from which the most profitable results are anticipated." Marshall considers as well the size of the site in relation to the height of the building upon it, stating that "if land is cheap he [the entrepreneur] will take much of it; if it is dear he will take less and build high." He concludes that "the industrial demand for land is in all respects parallel to the agricultural." That is to say, in the urban as in the agricultural case, potential users of land make bids for various sites based on their respective location advantages, and the highest bidder captures the land in each case.[8] The parallel does not extend to the fertility of land.

5. Edgar S. Dunn, Jr., *The Location of Agricultural Production* (Gainesville: University of Florida Press, 1954); Walter Isard, *Location and Space-Economy* (New York: John Wiley & Sons, 1956).

6. Adam Smith, *The Wealth of Nations* (New York: Dutton, Everyman's Library Edition), vol. I, p. 320, vol. II, p. 325.

7. John Stuart Mill, *Principles of Political Economy* (New York: Longmans, Green), pp. 444, 445, 448, 649.

8. Alfred Marshall, *Principles of Economics* (London: Macmillan, 7th ed., 1916 [1st ed., 1890]). In particular, book V, chap. XI, "Marginal Costs in Relation to Urban Values," and appendix G. The quotations are taken from pp. 445, 448, 450.